Bachatt today: entry is clear, the future is contested

Memo for Piyush · From Sandeep · 19 October 2026 · Should we launch a challenger, and where do we fight?

Bachatt Model

Acquisition + Retention + Servicing

✓ Built / live
✗ Vision / not built

ACQUISITION	RETENTION	SERVICING
✓ Savings product through debt funds	✓ Financial products (MF, Insta Fund, Gold/Silver)	✗ ① AI financial planning
✓ Online acquisition	✗ Wallet-like: save in / withdraw out	✓ ② Lean DSA + digital
✗ Offline acquisition	✓ Daily / flexible SIP for irregular incomes	✓ ③ Loans on book*
✓ Low-ticket entry (~₹250)	✓ No lock-in, instant withdraw	✗ ④ 3-month EMI + gold loan
✓ → Digital loans through DSA		

Vision → go-to financial planning app / wallet (save in, withdraw out, finance purchases)

Power move: own the customer relationship + money flows → EMI on products deepens habit and data

* Bachatt's site says partner NBFCs disburse its loans (XL-12), so "loans on book" needs verifying.



Recommendation: launch only if we lead on **offline** and **credit with collections**. Match the ✓ squares fast, and prove the wedge in one city in 6 months.

1 · Entry is clear: anyone can build the ground floor

THE CONTESTED FLOORS: value is won here

- ✗ Offline acquisition
- ✗ Wallet: save in / out
- ✗ AI financial planning
- ✗ 3-month EMI + gold loan
- ✗ Loans on book*

THE GROUND FLOOR: Bachatt's ✓ squares, which anyone can build

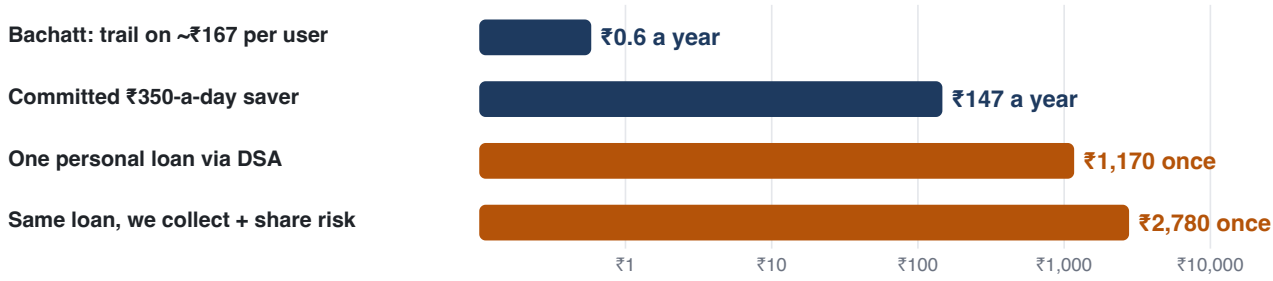
✓ Debt-fund savings	✓ Online acquisition	✓ Low ticket, daily SIP	✓ Fund shelf	✓ Instant withdraw	✓ DSA loans
ARN ₹40k (REG-036)	≈₹500 per saver*	UPI auto-debit	MF, Insta, gold funds	≤ ₹50k a day (REG-041)	1–3% fee (XL-13)

* online cost per activated saver is our estimate; Bachatt's 'loans on book' is unverified (XL-12)

≈ 6–9 months to match

Copying Bachatt's ✓ squares gets us parity at best. The market will be won on the contested floors.

WHY THE UPPER FLOORS MATTER: WHAT ONE USER IS WORTH (₹, LOG SCALE)

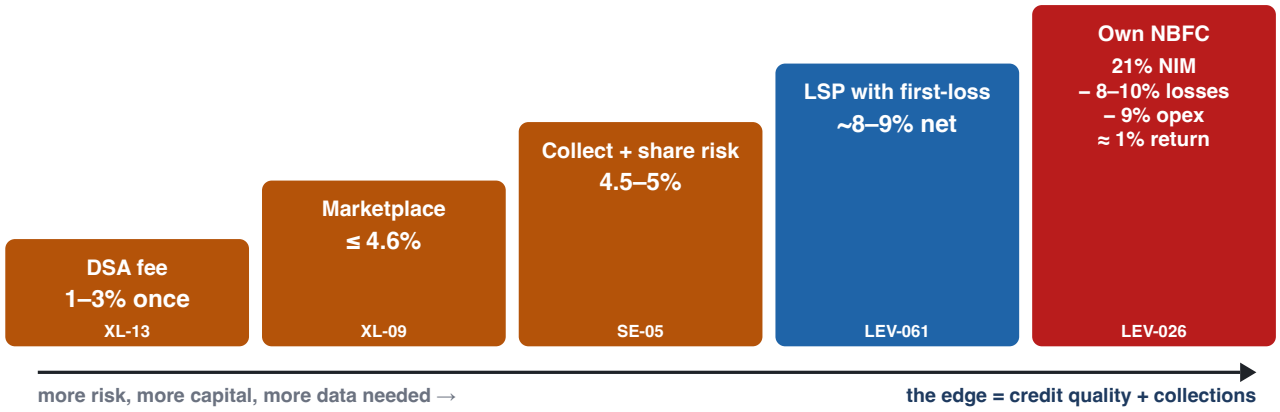


Sources: BAC-02/04, XB-04 (trail 0.2–0.5%), XL-13, XL-29 (₹58,522 average loan), SE-05/XB-07 (4.5–5%). The ₹350-a-day saver is our illustration.

Savings trail is under ₹1 a user a year at Bachatt's visible balances (~₹167 a user). One loan is worth more than years of trail.

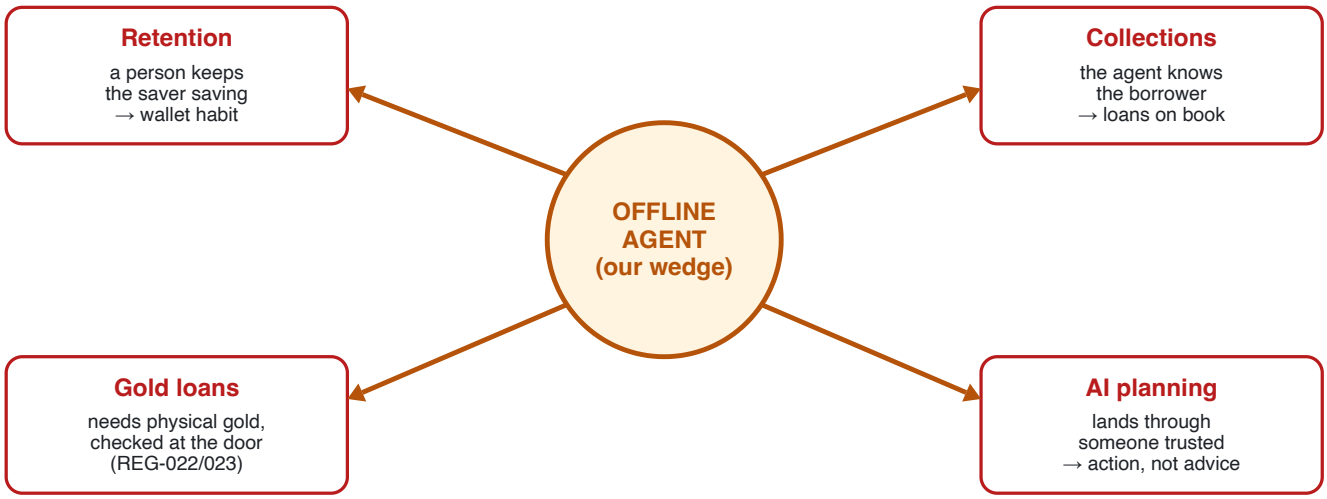
2 · The money is in credit, and power is in collections

THE CREDIT STAIRCASE: EACH STEP EARNS MORE, AND CARRIES MORE RISK



A licence alone doesn't make an NBFC profitable: fintech NBFCs keep about 1% after losses. The edge is credit quality, from the savings record plus collections.

HOW OFFLINE UNLOCKS THE CONTESTED SQUARES



Who else wants these: Paytm/PhonePe (wallet, merchants), Jar (daily savings), Snapmint/Bajaj (EMI), Muthoot/Manappuram (gold)

Offline is Bachatt's empty square, and it is the key that unlocks the four contested ones.

3 · The challenger's slide: same map, different ground

Challenger model

Same three columns · we compete on the contested squares

✓ Built / live
✗ Vision / not built

ACQUISITION	RETENTION	SERVICING
✓ Debt-fund savings (match) TABLE STAKES	✓ Same fund shelf (no digital gold) TABLE STAKES	✓ AI planning through the agent CONTESTED
✓ Online + OFFLINE agents OUR WEDGE	✓ Habit from a person + app OUR WEDGE	✓ Collections: agent knows borrower OUR WEDGE
✓ Cash first → UPI TABLE STAKES	✓ Save in / out on fund rails CONTESTED	✓ Credit from the savings record CONTESTED
✓ Loans: partner → risk-share → own book CONTESTED	✓ Never hold money TABLE STAKES	✓ Gold loans: doorstep appraisal CONTESTED

Vision → the trusted daily money partner for cash earners: save, withdraw, borrow, protect, with a person behind the app

Power move: a person + the savings record + collections → credit quality an app alone can't match

TABLE STAKES: match Bachatt in 6–9 months

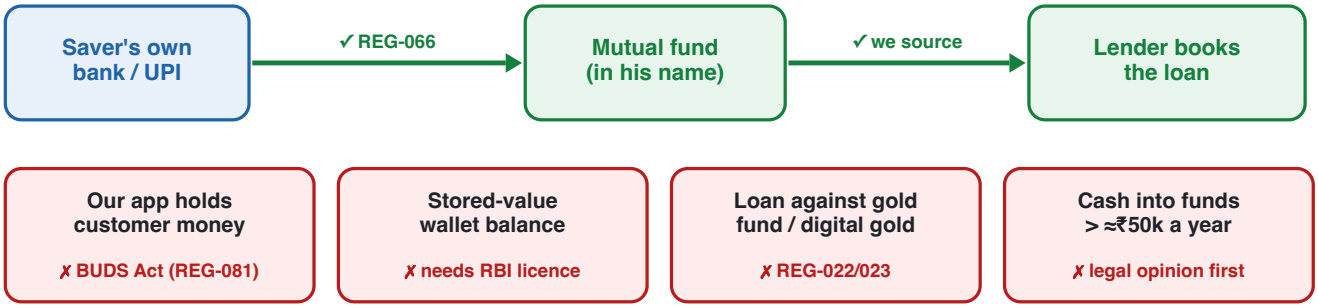
OUR WEDGE: offline agents, habit, collections

CONTESTED: wallet, AI, credit, gold loans

THREAT: Bachatt adds offline with its $16M (QM-45)

4 · Rules, proof, decisions

THE RULES SHAPE THE DESIGN: ALLOWED ✓ AND BLOCKED ✗ MONEY FLOWS



Our app holds customer money	Stored-value wallet balance	Loan against gold fund / digital gold	Cash into funds > ≈₹50k a year
✗ BUDS Act (REG-081)	✗ needs RBI licence	✗ REG-022/023	✗ legal opinion first

PROVE IT IN ONE CITY IN 6 MONTHS, THEN RAISE



Launch: 1 city, a few agents	Savers won per agent; cost per saver	Still saving at 3 and 6 months; cash → UPI	Loan take-up; lender terms signed	GO / STOP on agreed lines

Cost per saver kept	Still saving at 12 months	Cash → UPI share	Lender terms	Gold-loan pilot
< online's ≈₹500 ÷ 1-in-4	clearly above apps' ≈1 in 4	rising every month	above the 1–3% DSA fee	doorstep appraisal works

Decisions for us

① Fight on the contested squares, with offline as the wedge?

② First city and segment: e.g. NCR shopkeepers?

③ Credit path: DSA → risk-share → NBFC. When, and who leads?

④ Kill lines for the 5 pilot numbers, agreed now

Sources

IDs are rows in our research files. Bachatt figures are company claims. "Our estimate" and "to verify" mark items that are not sourced facts.

ID	What	Source
BAC-02/04/05, XB-03, XL-12	Bachatt claims: ~3M users, ₹50 crore+ invested, product shelf, loans via partner NBFCs	bachatt.app; press release
QM-45	About $16M raised ($4M seed + $12M Series A, Accel)	Entrackr
REG-036/037, REG-039, REG-041	ARN ₹40,000; NISM ₹1,500; trail only on regular plans (liquid ≈8 bp); instant redemption ≤ ₹50,000 / 90% a day	AMFI, NISM, SEBI (research/regulation_rails.csv)
REG-022/023	RBI Gold Lending Directions 2025: no loans against gold ETF/MF units or digital gold	RBI (research/regulation_rails.csv)
REG-066, REG-081	MF payments from the investor's own account; BUDS Act on unregulated deposits	SEBI; India Code
XB-04, XL-13, XL-09, XL-29	Debt-fund trail 0.2–0.5%; DSA 1–2.5%; Paisabazaar ≤ 4.6%; personal-loan average ₹58,522	AMC blogs; GroMo; PB Fintech; CRIF
SE-05, XB-07, LEV-061, LEV-026	Paytm 4.5–5% per loan; LSP with DLG ~11% gross; Stashfin NIM 21.3%, credit cost 8–10%, RoMA 1.2%	Paytm; Moneyview RHP; ICRA
QM-12, TB-18	PhonePe 25,657 field staff + 31,000 agents; Groww cost to acquire ₹796 → ₹1,374	PhonePe DRHP; Entrackr